



Transocean - Valaris

MN-25019

Phase 1 Determination

Acquisition may be put into effect

24 July 2026

1. Determination

Notified acquisition	Transocean Limited (Transocean) proposes to acquire Valaris Limited (Valaris) by way of merger (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Transocean, is a global provider of offshore contract drilling services. Transocean's fleet consists of 20 drillships (three of which are cold stacked¹) and seven semisubmersibles. In Australia, Transocean currently has two semisubmersibles under contract and a drillship due to commence operations in 2027. The target, Valaris, is a global provider of offshore contract drilling services. Valaris' fleet consists of 13 drillships (three of which are currently cold stacked), one semisubmersible (currently warm stacked²) and 31 jackups (seven of which are currently cold or warm stacked). In Australia, Valaris currently has one jackup under contract.
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.
- 2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's [merger assessment guidelines](#) and [interim merger process guidelines](#).
- 2.3. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, additional information provided by the parties to the acquisition, market feedback and publicly available information.
- 2.4. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

¹ Cold stacked rigs are in long term storage.

² Warm stacked rigs are in short to medium term storage.

Industry background

- 2.5. Offshore contract drilling companies provide drilling services over the life of oil and gas projects, including exploration, appraisal and development drilling, workovers and plug and abandonment works. Customers of these services are typically oil and gas production companies who select providers through open or invitation-only tender processes.
- 2.6. Offshore contract drilling companies provide these services with mobile offshore drilling units (**rigs**), of which there are three main types, jackups, semisubmersibles and drillships. Jackups are typically used for drilling at relatively shallow waters, semisubmersibles in midwater and drillships in deep water or ultra deep water environments.
- 2.7. In addition to water depth, customers also have regard to sea and weather conditions at the drill site, technical requirements and past experience in selecting a rig type. The ACCC understands that customers typically identify a preferred rig type before seeking tenders from providers of offshore contract drilling service providers.
- 2.8. Offshore contract drilling companies also provide associated equipment and work crews along with rigs to customers. These components are typically included in a day-rate which includes the hire and operation of rigs. Australian customers can often be charged mobilisation fees to transport rigs from locations across the world to drill sites and demobilisation costs to transport rigs from drill sites to service other customers or to be stacked.
- 2.9. Stacking refers to temporarily taking a rig out of service and placing it into a state of storage and preservation. There are two types of stacking:
 - Warm stacking: refers to rigs in short to medium term storage, often with a full or almost full crew who conduct routine maintenance of the rig. Warm stacked rigs often incur ongoing costs; however, they can be deployed immediately or within days without incurring significant costs.
 - Cold stacking: refers to rigs in long term storage, often unmanned or with very minimal crew. Compared to warm stacked rigs, cold-stacked rigs take longer and incur higher costs to become deployable again.

Overlap between the Parties

- 2.10. Transocean and Valaris overlap in the supply of offshore contract drilling services. Both Parties provide these services via semisubmersibles and drillships, though Valaris appears to have limited presence in semisubmersibles, with only a single semisubmersible as part of its fleet.
- 2.11. Transocean and Valaris provide offshore contract drilling services in Australia and also globally.

Competition assessment

- 2.12. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).

Relevant areas of competition

- 2.13. The ACCC considered the competition effects of the Acquisition on the supply of semisubmersibles and drillships for offshore contract drilling in Australia.
- 2.14. In its assessment, the ACCC has had regard to the prevalence of drillships and semisubmersibles for projects in Australia. Based on customer feedback and tender data provided by the Parties, semisubmersibles appear to be the typically preferred rig type for offshore contract drilling in Australia over drillships, primarily for technical reasons.
- 2.15. For the purposes of this assessment, it was not necessary for the ACCC to form a concluded view on the precise scope of the affected market(s), because it does not materially alter the ACCC's competition assessment.

Competition effects in the supply of semisubmersibles

- 2.16. The ACCC considers the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the supply of offshore contract drilling with semisubmersibles for Australian customers.
- 2.17. The ACCC considers that Transocean and Valaris are not presently close competitors in the supply of offshore contract drilling with semisubmersibles. Valaris has a single semisubmersible, which is currently warm stacked in Malaysia, and which does not appear to pose a significant competitive constraint on Transocean.
- 2.18. The ACCC also finds that post-Acquisition, the Parties would likely continue to be constrained by alternative suppliers of semisubmersibles for offshore contract drilling, including Noble, Seadrill and Stena Drilling.
- 2.19. In reaching these findings, the ACCC considered customer feedback and tender data which indicated the Parties currently do not pose a significant competitive constraint on each other for tender opportunities with Australian customers.

Competition effects in the supply of drillships

- 2.20. The ACCC considers the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the supply of offshore contract drilling with drillships for Australian customers.
- 2.21. Though the Parties both have multiple drillships as part of their fleet, the ACCC notes that drillships appear to be less commonly used on Australian oil and gas projects and that Transocean and Valaris do not currently have drillships operating in Australia or in surrounding regions.
- 2.22. The ACCC considers that, following the Acquisition, the Parties would likely continue to be constrained by alternative suppliers of drillships for offshore contract drilling services and who operate globally and supply to Australian customers, including Noble, Saipem, Stena Drilling, and Vantage Drilling. These findings are based on information from the Parties and market feedback.

3. Applications for review

- 3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

**Determination made by Commissioner Williams pursuant to a delegation under section 25(1)
of the Act**